TFSA and RRSP at More Than One Institution: the Rules

Contribution room, deadlines, over-contributions, withdrawals, transfers and US dividends, in plain English · 2026

Your TFSA room and your RRSP deduction limit belong to you as a person. Every TFSA you own shares one TFSA room, and every RRSP you own shares one RRSP limit, no matter how many banks or brokerages you use. Each institution only sees its own account, so nobody warns you when the total goes over. These are the rules that matter, and how the tracker handles each one.

1. TFSA CONTRIBUTION ROOM

Rule	What it means	In the tracker
Annual limit: $7,000 for 2026	Room starts the year you turn 18 and is added every year, even if you have no TFSA. Unused room carries forward forever.	Settings B23.
Up to $109,000 in 2026	The total for someone who was 18 or older in 2009 and has never contributed.	—
Your exact room	CRA My Account shows your room on January 1. It may not include this year's transactions yet.	Settings B24.
One room for all your TFSAs	Contributions at every institution are added together against that one number.	TFSA room block, both dashboards.
Deadline: December 31	No grace period. A January contribution uses the new year's room.	Year-end checklist.

2. TFSA WITHDRAWALS AND OVER-CONTRIBUTIONS

Rule	What it means	In the tracker
Withdrawals come back next year	What you take out is added back to your room on January 1 of the following year, not right away.	"Room on Jan 1 next year" line.
Re-contributing too soon	Putting withdrawn money back in the same year uses new room. If you have none, it is an over-contribution, even though your balance is the same as before.	Room left goes negative: red alert.
1% per month	Tax of 1% on the highest excess in each month, for as long as it stays in. You file Form RC243 (the TFSA return). There is no $2,000 buffer for a TFSA.	Red alert with the amount to withdraw.
Direct transfers are not withdrawals	Moving money from one of your TFSAs to another through a direct transfer does not use room and does not create room.	Types Transfer Out / Transfer In.

Example. You have $10,000 of room on January 1, 2026 and contribute $7,000 at Wealthsimple. In June you withdraw $3,000 and put $6,000 into a TFSA at Questrade. Room left = $10,000 – $13,000 = –$3,000: an over-contribution. The $3,000 you withdrew only comes back on January 1, 2027.

3. RRSP CONTRIBUTION ROOM

Rule	What it means	In the tracker
New room: 18% of earned income	18% of last year's earned income, up to $33,810 for 2026 ($35,390 for 2027), minus any pension adjustment from a workplace plan.	—
Your limit is on your NOA	The "RRSP deduction limit" on your Notice of Assessment already includes unused room carried forward. Do not add carry-forward again.	Settings B31.
Unused contributions	Contributions you made but have not deducted yet (also on the NOA) already use room.	Settings B32; B33 = B31 – B32.
One limit for all your RRSPs	Every RRSP, a group RRSP at work and any spousal RRSP you pay into share it.	RRSP room block, both dashboards.
Deadline: first 60 days of next year	Contributions made by March 1, 2027 can be deducted on your 2026 return. A January or February contribution can be used for either year.	Room window March 2 → March 1.

4. RRSP OVER-CONTRIBUTIONS AND WITHDRAWALS

Rule	What it means	In the tracker
$2,000 lifetime buffer	You can be up to $2,000 over your limit in total, for life, without penalty. It is not $2,000 a year, and you cannot deduct it until you have new room.	Settings B34; amber message.
1% per month above the buffer	On the excess above $2,000, until it is withdrawn. File Form T1-OVP within 90 days after the end of the year.	Red alert.
Withdrawals are taxed	Added to your income (Line 12900). Tax withheld at source: 10% up to $5,000, 20% from $5,000 to $15,000, 30% over $15,000 (in Quebec: 5% / 10% / 15% federal plus provincial tax).	Withdrawals line.
Room never comes back	Unlike a TFSA, an RRSP withdrawal does not give you the room back.	Withdrawals do not change room left.
Home Buyers' Plan	First-time buyers can withdraw up to $60,000 tax-free and repay over 15 years. Can be combined with an FHSA.	—
Lifelong Learning Plan	Up to $10,000 a year, $20,000 in total, for full-time studies. Repay over 10 years.	—
Age 71	Your RRSPs must become a RRIF or an annuity by December 31 of the year you turn 71.	Settings B9.

5. US DIVIDENDS AND THE CANADA-US TAX TREATY

Holding	In a TFSA	In an RRSP
US-listed stock or ETF (KO, VOO, SCHD)	15% withheld by the IRS, cannot be recovered	0% withheld (treaty exemption)
Canadian-listed ETF of US stocks (VFV, XUS)	15% lost inside the fund	15% lost inside the fund
Canadian stock or ETF	No withholding	No withholding

The tracker estimates both numbers on the Dividend Tracker from the USD dividends you log. A common approach is to hold US dividend payers in the RRSP and Canadian stocks and growth investments in the TFSA.

6. MOVING MONEY BETWEEN INSTITUTIONS

- **Always ask for a direct transfer** (Form T2033 for RRSPs; the receiving institution handles TFSA transfers). It is not taxed and does not touch your room.
- **Withdraw and re-deposit is not a transfer.** TFSA: a new contribution. RRSP: a taxable withdrawal and a new contribution.
- **Contributing shares in kind** from a non-registered account counts as selling them: a gain is taxable, a loss is denied.
- **Transfer fees** are often $100 to $150 per account. Many brokerages reimburse them: ask before you move.

7. TFSA OR RRSP?

- **Tax rate higher now than in retirement:** the RRSP deduction is worth more.
- **Lower income now, or you may need the money:** the TFSA is usually better, and withdrawals never count as income (no effect on OAS, GIS or the Canada Child Benefit).
- **Do both:** contributing your RRSP tax refund to your TFSA lets one contribution work twice.

For educational purposes only. Not financial or tax advice. Rules summarized for 2026 from canada.ca (Tax-free savings account; RRSPs and related plans; MP, DB, RRSP, DPSP, ALDA, TFSA limits). Always confirm your own room in CRA My Account and on your Notice of Assessment. Questions: hello@maplesheet.ca